Agenda

Revise

* CRM Analytics - RFM Model

Customer Relationship Mgnt

- Introduction to CRM Analytics
- How CRM Analytics can be used in business?
- Customer Segmentation using RFM Model

Assignments

Case study

A company in the e-commerce sector wants to segment its customers and determine their marketing strategies according to these segments.

SQL

Amazon

For example: If the company has a ~~50K~~ marketing budget - and that amount is not enough to target everyone

- How would you strategize spending this budget?

What is the obj of marketing budget

increase Revenue & profit

Revenue

SQL

RFM

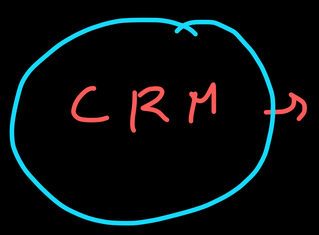
Rs 1000 Smartphone

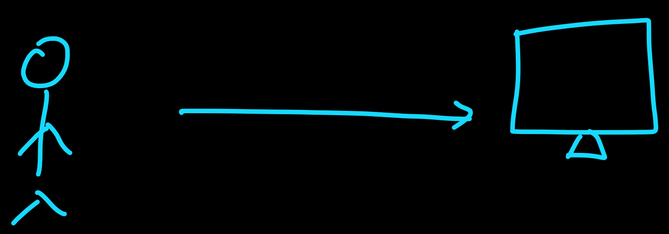
↳ subset



→ not all customers

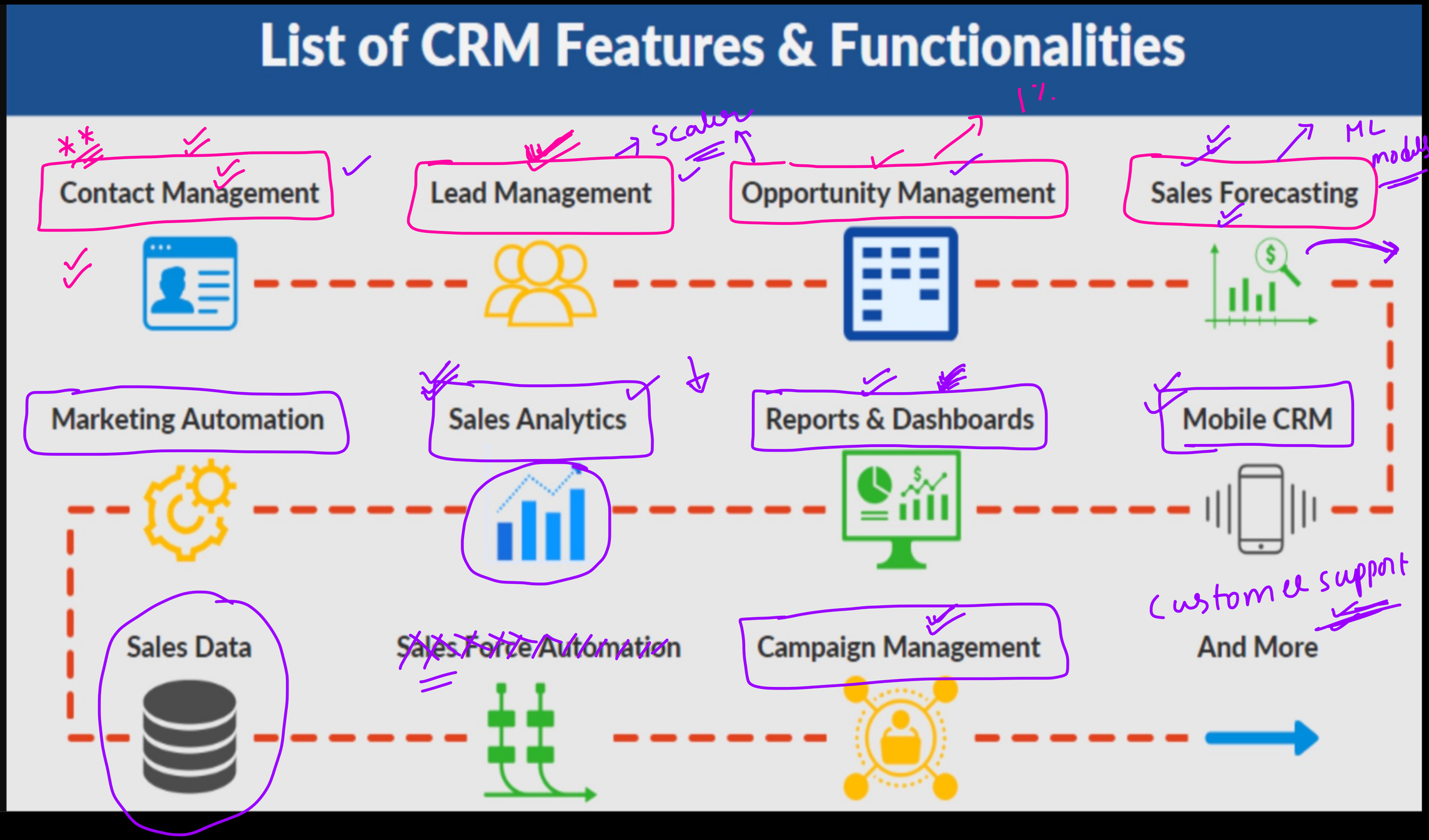
How do I determine the subset of the customers?

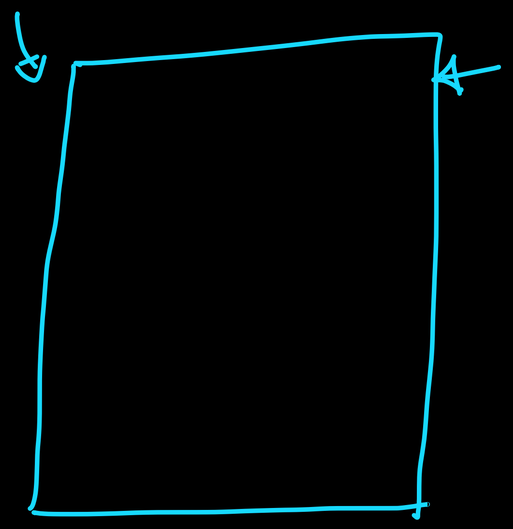


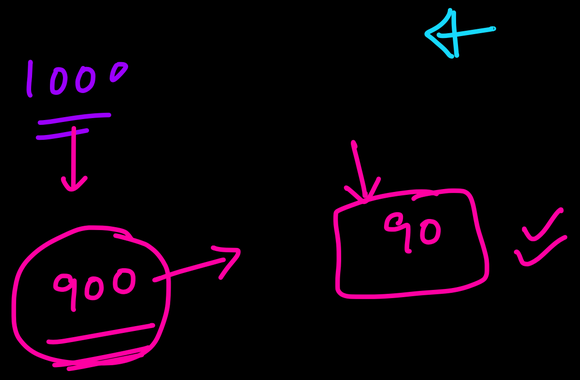


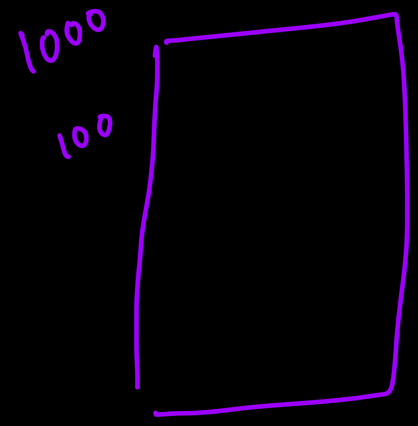
Made with Goodnotes

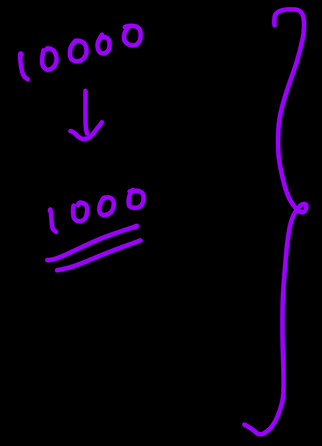
List of CRM Features & Functionalities

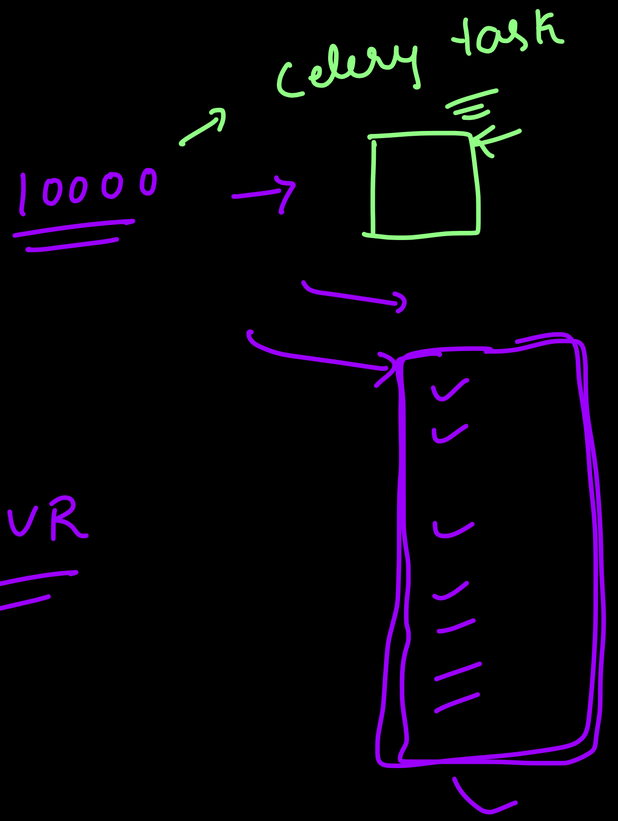





1000
900
90


1000
100


10000
1000


celery task
10000
IVR

Obj : Find subset of customers

- 50 L budget
- Maxmize revenue & profit

How will you find subset of customers ?

- People who are visiting the website more
- Customers buying high margin items
- Order value of customers [last 12 months]
- No of orders per months [most frequent buyers]



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1. # orders per month — frequent buyer

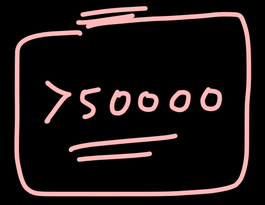
→ Frequency

2. Customers who are buying high value products

→ Monetary

Shoes
dress

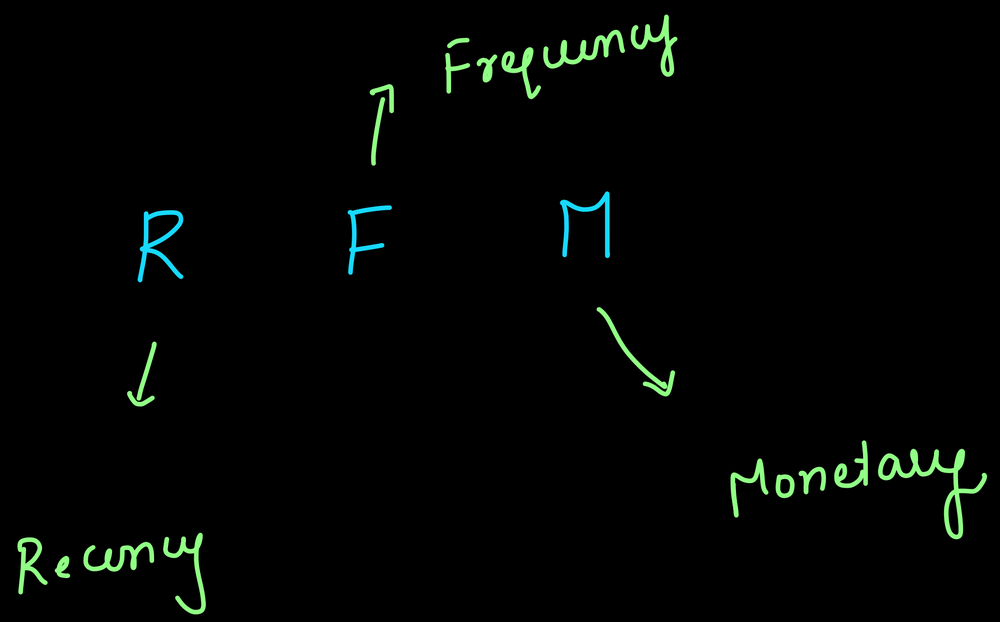
✓ Amazon



3. Customers who is visiting more recently

→ Recency

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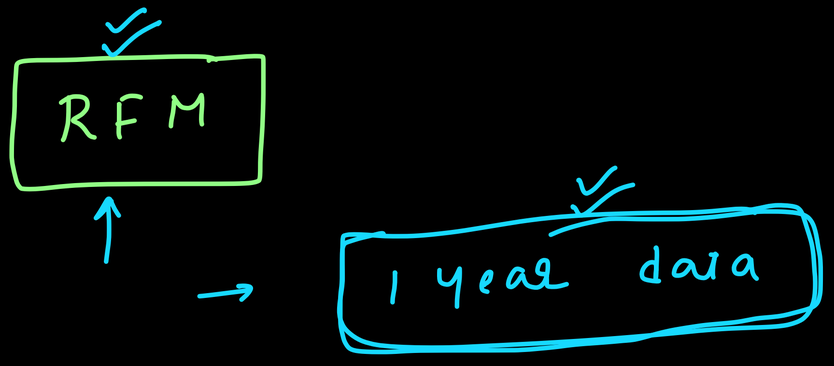
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1. Demographics : age, gender, ethnicity - - - -

2. Psycographics : interest, opinion, lifestyle - - -

3. Geographic :

4. purchase pattern



dad - 2 kids

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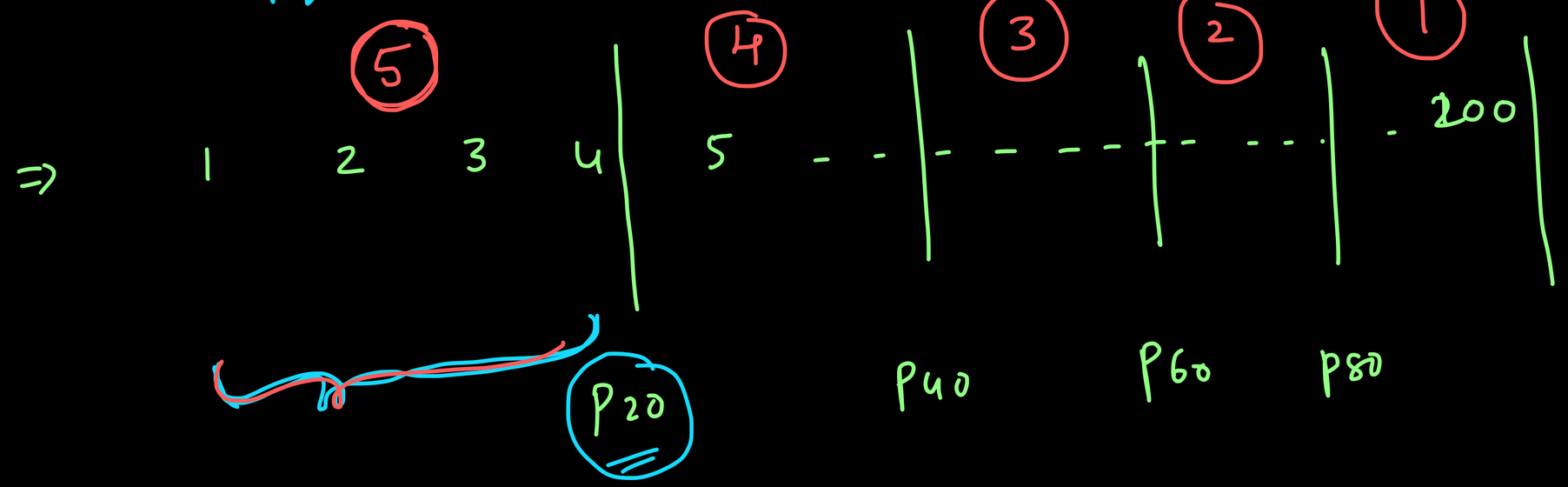
1. Recency : 15, 1m, 2 → Numerical

2. Frequency : Numer

3 Monetary : Numeric

Recency

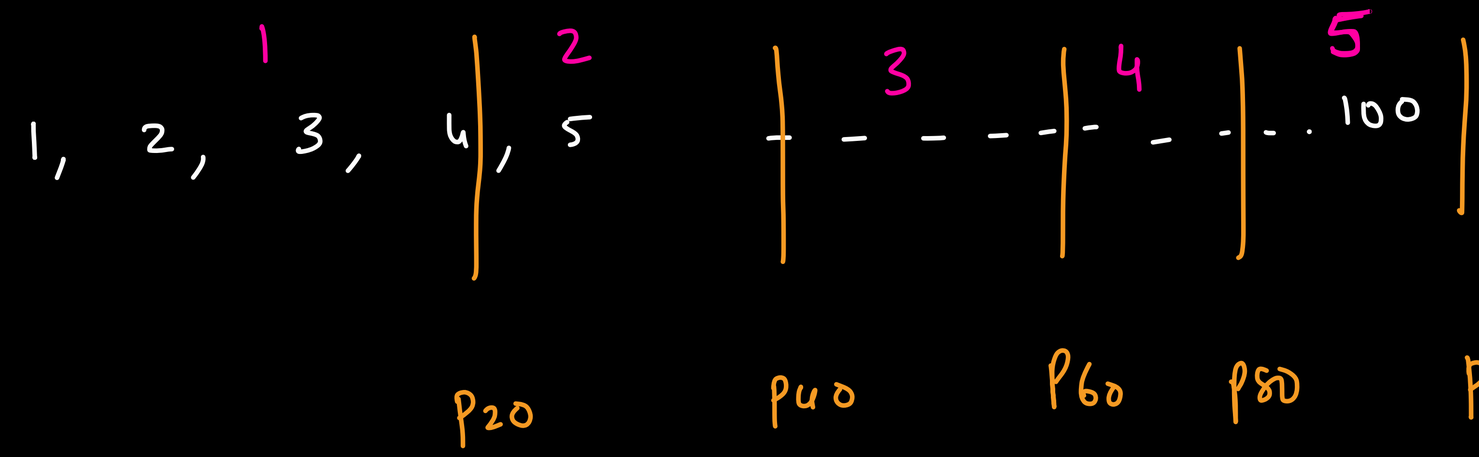
Customer Id	Last purchase Date	Months since Last purchase Date	Recency $score
x47	1/12/2024	1	
abc			
pqr			



1 → less

5 → More

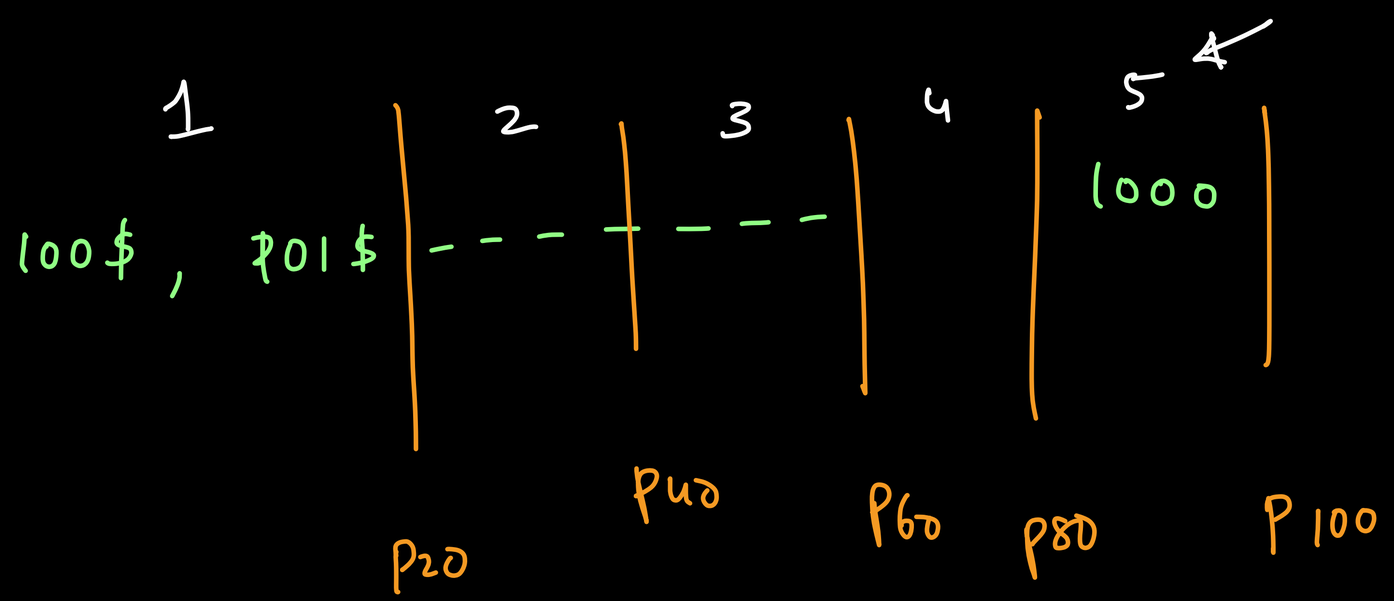
Frequency



1 – Low

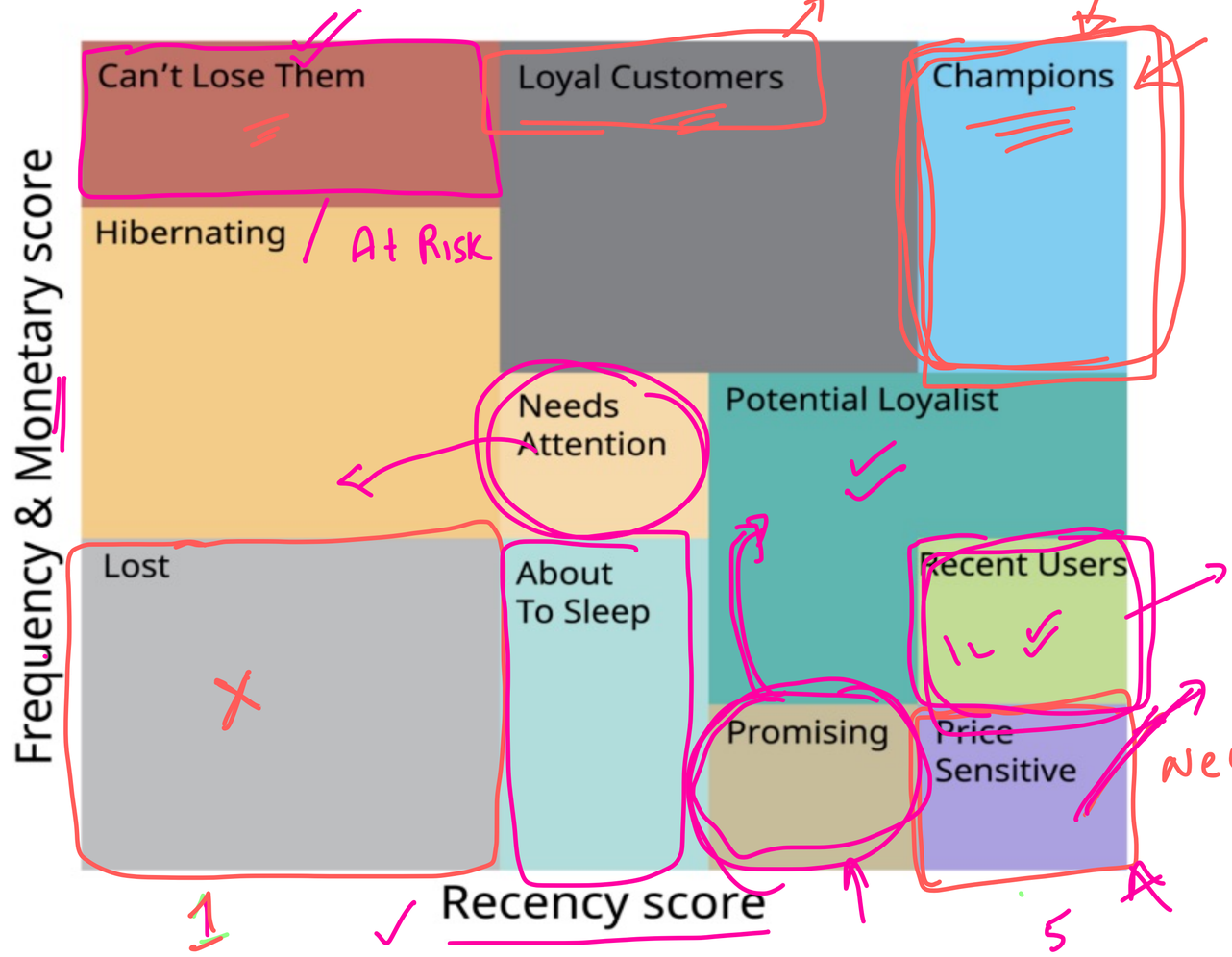
5 → Hyhl

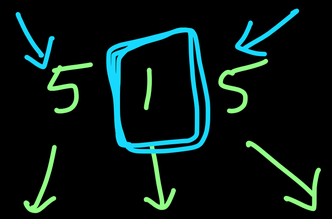
Monetary



Made with Goodnotes

Predictive Segments (RFM)



RFM → 

⇒ Acquire

RFM → 1 4 5

515 → 50K → 1L → 5L

145 → 50K

[1 → low

5 → High

Amazon

1. High RFM Customers : Exclusive ⇒ premium

2. Moderate - High RFM customers :

3. Moderate - RFM customers :

4. Moderate - Low RfM Customers :

5. Low RFM Customers .

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